Birkins or Bonds

An Empirical Analysis of Luxury Handbags as Alternative Investment Assets

Mariah Workman · March 2026

Executive Summary

In July 2025, Jane Birkin's original Hermès bag sold at Sotheby's Paris for over $10 million — a 9,900% return on the ~$100,000 paid in 2000.[1] That headline obscures a more complicated reality: by the time of that sale, the broader Birkin resale market had been cooling for three years. According to Bernstein Research's Secondhand Pricing Tracker, the average resale premium for Birkin and Kelly bags fell from 2.2× retail in 2022 to 1.4× by late 2025.[2] A standard Birkin 35 that would have fetched ~$23,800 at the 2022 peak resells for ~$18,900 today — a 21% decline from the high.

This report subjects the "Birkins as investments" thesis to quantitative analysis, benchmarking three luxury handbag models against both the **S&P 500** and the **US Aggregate Bond Index (AGG)** over 2005–2025. We report both gross and **net-of-transaction-cost** returns, flag the data construction artifacts that inflate risk-adjusted metrics, and conclude that the practical case for handbags as portfolio diversifiers is far weaker than the theoretical one.

> **Headline: the Birkin's gross Sharpe ratio of 1.21 drops to 0.73 after a 25% round-trip transaction cost — and even the gross figure is inflated by artificially smooth proxy data.**

[1] Fortune, "Gen Z's reality check: Birkin resale prices slump" (Dec 2025)

[2] Bernstein Research Secondhand Pricing Tracker, via Fortune (Dec 2025). Resale premium = auction price / retail cost.

Data & Methodology

Data Sources

Asset	Source	Type
S&P 500	Yahoo Finance (^GSPC)	Real market data
US Agg Bond (AGG)	Yahoo Finance (AGG ETF)	Real market data
Hermès Birkin 35	Knight Frank KFLII, Bernstein, auctions	Proxy construction
Balenciaga City	Retail history, Fashionphile benchmarks	Proxy construction
Chloé Paddington	Retail history, resale platform listings	Proxy construction
US CPI	Federal Reserve Bank of Minneapolis	Real data

Proxy Construction

Handbag "prices" are mid-market resale estimates constructed by anchoring to known retail prices, applying Knight Frank KFLII handbag component returns, calibrating to auction realized prices, and adjusting for resale premium ratios from Bernstein Research.[3] Monthly values are linearly interpolated between annual anchor points.

Critical Caveat: Interpolation Suppresses Volatility

Linear interpolation between annual anchor points mechanically smooths month-to-month price variation. The reported volatility figures for handbags — especially the Birkin's 2.4% annualized — are **artifacts of this data construction**, not evidence of genuinely low price variance. Real transaction-level data, if it were available, would almost certainly show higher volatility. All Sharpe ratios and volatility comparisons involving handbag assets should be interpreted as lower bounds on risk, not precise measurements.

[3] Knight Frank, "Rise in Handbag Opulence" (KFLII 2020)

Other Limitations

• Survivorship bias: only bags in good condition are resold; damaged/lost bags are invisible.

• Illiquidity: selling takes 2–8 weeks vs. milliseconds for equities or bonds.

• Transaction costs: 15–30% resale commission or 20–25% auction buyer's premium.

• Selection bias: we track iconic bags, not a random sample.

• No income: bags generate no dividends or coupons. S&P; and AGG returns exclude dividends/coupons for comparability.

Results

Performance Summary — Gross and Net of Fees

Metric	S&P 500	US Agg Bond	Birkin (Gross)	Birkin (Net 25%)	Balenciaga (Net 25%)	Paddington (Net 25%)
CAGR	8.9%	3.1%	5.7%	4.2%	–3.0%	–2.9%
Volatility*	14.8%	4.6%	2.4%	2.4%	3.6%	5.3%
Sharpe	0.47	0.13	1.21	0.73	–1.52	–1.03
Max Drawdown	–52.6%	–17.2%	–21.8%	–21.8%	–53.8%	–84.0%
Total Return	448%	86%	205%	129%	–45%	–45%

**Handbag volatility is artificially low due to interpolation between annual data points. Net 25% = after deducting a 25% round-trip transaction cost (typical auction friction).*

The gross Birkin Sharpe ratio of 1.21 is the number that appears in most popular press coverage. But two adjustments materially change the picture: (1) after a 25% transaction cost, the Sharpe falls to **0.73**; and (2) even that figure relies on a volatility number (2.4%) that is suppressed by data smoothing. A more realistic volatility estimate of 5–8% — still below equities — would push the net Sharpe into the 0.2–0.4 range, roughly comparable to the S&P 500.

The inclusion of the **US Aggregate Bond Index** directly answers the title question. Bonds returned 3.1% CAGR with 4.6% volatility and a 17.2% maximum drawdown — a Sharpe of 0.13.[4] The Birkin beats bonds on both an absolute and risk-adjusted basis even after fees. But bonds are liquid, income-generating, and can be bought in any size. The comparison is not as straightforward as CAGR vs. CAGR.

[4] AGG total return from Yahoo Finance. Note: AGG price return understates true bond performance because it excludes coupon income. Actual total return with reinvested coupons would be higher.

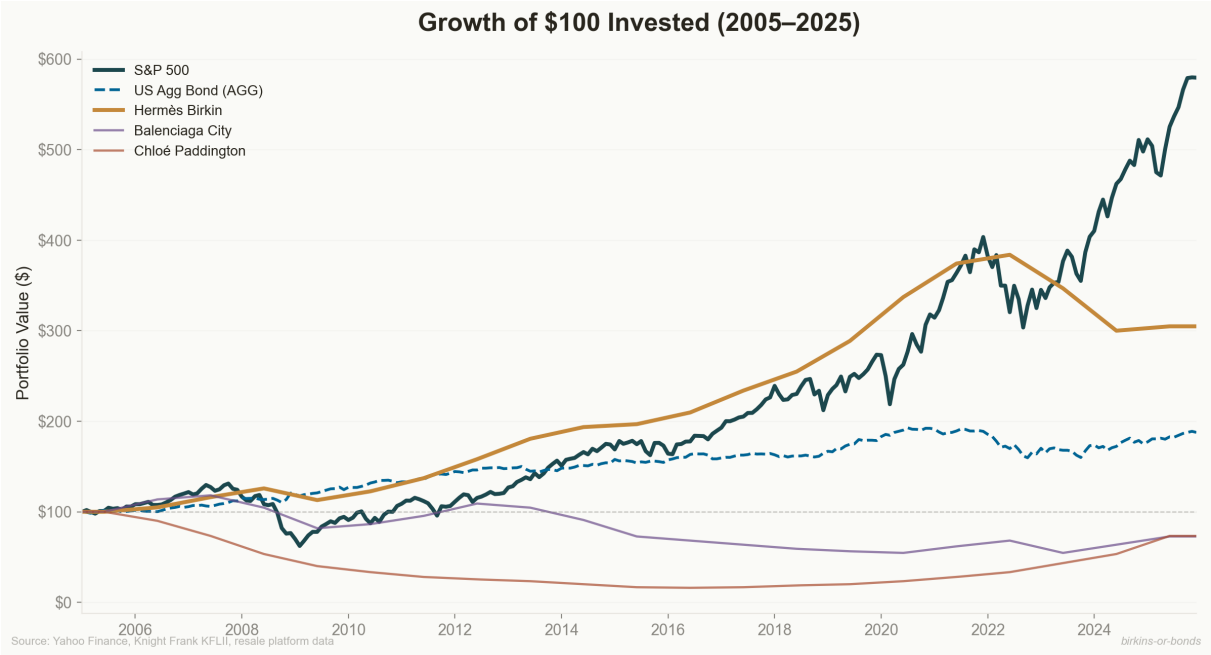

Figure 1: Growth of $100 invested in each asset class, 2005–2025. Bonds shown as dashed line. Source: Yahoo Finance, Knight Frank KFLII, resale platform data.

The 2022–2025 Correction

The Birkin resale market peaked in 2022, when Bernstein Research reported average resale premiums of 2.2× retail — meaning a bag purchased for $10,000 at Hermès resold for ~$22,200.[5] By late 2025, that premium had compressed to 1.4×. Several factors drove the correction:

• Post-pandemic normalization of luxury demand after the 2020–2021 spending surge.

• Gen Z aspirational demand cooling as economic uncertainty increased.

• Increased secondary market supply as pandemic-era buyers liquidated.

• Hermès retail price increases (+44% since 2015) narrowing the arbitrage between retail and resale.

This correction is not a data footnote — it is a structural feature of the asset class. The Birkin's 20-year track record includes multiple periods of premium compression, and the current softness should temper any extrapolation of past returns.

[5] Fortune / Bernstein Research Secondhand Pricing Tracker (Dec 2025)

Drawdown Analysis

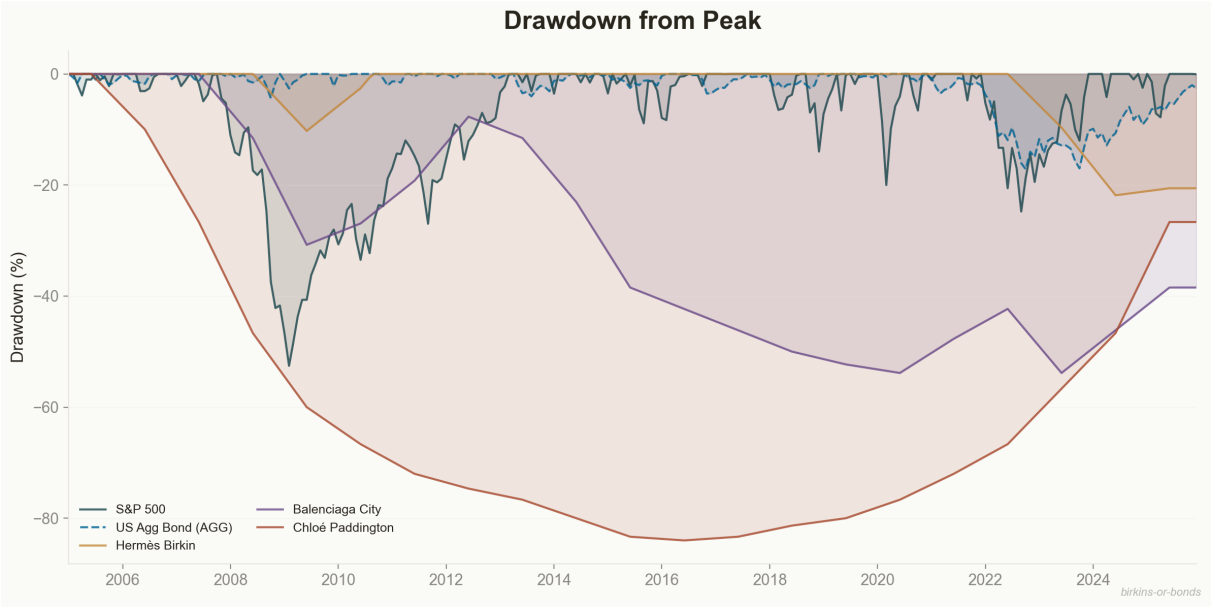

Figure 2: Peak-to-trough drawdowns for all five asset classes, 2005–2025.

Correlation Structure

The Birkin's monthly return correlation with the S&P 500 is 0.06 and with bonds is 0.05 — essentially uncorrelated with both major asset classes. This is the theoretical basis for diversification. However, the practical value of low correlation is limited when the asset cannot be traded freely (see Discussion).

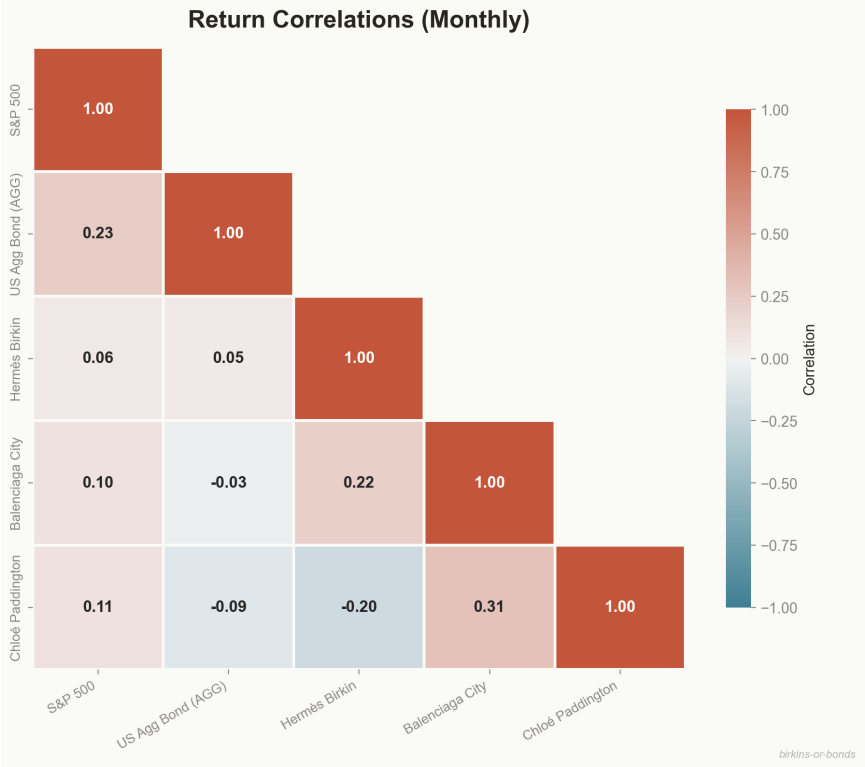

Figure 3: Correlation matrix of monthly returns across all asset classes.

Portfolio Simulation (Annual Rebalancing)

We simulate four allocations rebalanced **annually** (each January). Monthly rebalancing — the standard assumption in portfolio theory — is physically impossible for an asset that takes 2–8 weeks to sell. Even annual rebalancing is optimistic; it assumes you can execute a handbag sale and reinvest proceeds within a calendar year.

Portfolio	CAGR	Volatility	Sharpe	Max DD
100% S&P 500	8.8%	14.9%	0.47	–52.6%
60/40 Stocks–Bonds	6.8%	9.4%	0.48	–31.8%
60/40 Stocks–Birkin	7.8%	8.9%	0.61	–34.5%
50/25/25 Mix	6.9%	7.7%	0.58	–27.8%

Handbag transaction costs are NOT deducted from portfolio simulation returns. If a 25% round-trip cost were applied to each annual Birkin rebalancing, portfolio returns would be materially lower.

The 60/40 stocks–Birkin portfolio shows a Sharpe of 0.61 vs. 0.48 for the traditional stocks–bonds 60/40. But this comparison is misleading: (1) Birkin volatility is artificially low, (2) transaction costs are not deducted, and (3) annual rebalancing of an illiquid asset is impractical. A fairer comparison would add 2–3% per year in friction and use a higher volatility estimate, which would largely erase the Sharpe advantage.

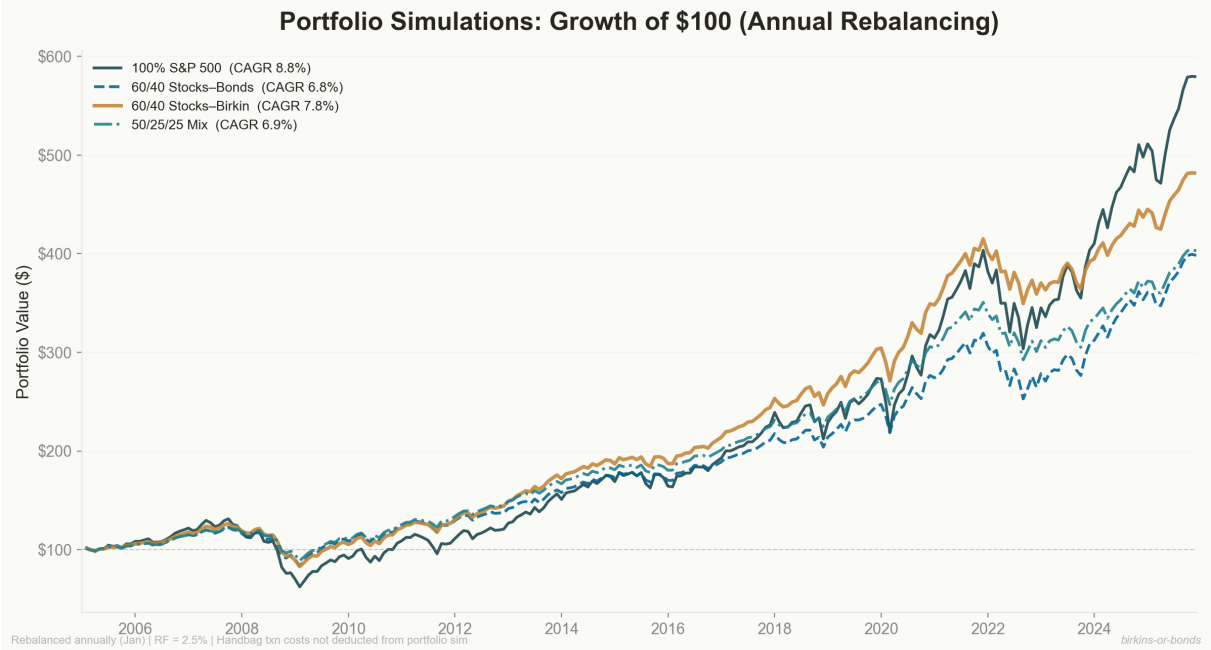

Figure 4: Portfolio growth of $100 under annual rebalancing. Transaction costs not deducted from Birkin allocations.

Discussion

What Drives Birkin Returns?

• Artificial scarcity: Hermès limits production and requires purchase history before offering a Birkin.

• Price inelasticity: annual retail increases of 5–8% are absorbed by deep global demand.

• Cultural permanence: the Birkin carries signaling value that transcends seasonal fashion.

• Authentication infrastructure: Rebag, Fashionphile, and Vestiaire provide market liquidity.

• Wealth concentration: demand for Veblen goods rises faster than supply as wealth concentrates.

The Fashion Cycle Trap

The Balenciaga City and Chloé Paddington both lost ~27% gross (worse after fees) over 20 years. Both were iconic "It bags" that depreciated as fashion moved on. The Paddington lost 84% of its peak value before nostalgia partially recovered it. Trend-driven bags are consumption goods, not investment assets. Only bags with permanent brand moats — Hermès, certain Chanel classics — exhibit investment-like behavior.

Conclusion

The Practical Case Is Weak

Despite favorable headline metrics, luxury handbags are impractical portfolio assets for most investors. The obstacles are structural, not incidental:

• **Transaction costs destroy returns.** A 25% round-trip cost reduces the Birkin's CAGR from 5.7% to 4.2% and its Sharpe from 1.21 to 0.73. For bags sold through auction houses (20–25% buyer's premium + seller's commission), the haircut is even larger.

• **Illiquidity is not a theoretical concern — it's a physical one.** You cannot rebalance a portfolio that includes a $20,000 handbag with the same frequency as one built from ETFs. Our simulation uses annual rebalancing, which is itself optimistic.

• **The low-volatility story is a data artifact.** Interpolating between annual anchor points mechanically suppresses variance. The Birkin's true monthly volatility is unknowable from public data but almost certainly higher than the 2.4% reported here.

• **No income.** Bonds pay coupons. Stocks pay dividends. Bags pay nothing. Over 20 years, foregone income compounds into a material opportunity cost.

• **Concentration risk.** A single bag is a single asset with binary condition and fashion risk. A diversified bond ETF holds thousands of securities.

• **The market is softening.** The 2022–2025 premium compression suggests the Birkin's best years may be behind it — or at least that extrapolating the 2010–2022 boom is risky.

The Theoretical Case Is Real — But Narrow

The Birkin's near-zero correlation with equities and bonds is genuine and theoretically valuable. If transaction costs were lower, liquidity were higher, and price data were more transparent, a small Birkin allocation could improve a portfolio's efficient frontier. The 50/25/25 mix (stocks, bonds, Birkin) shows the best risk-adjusted path, with max drawdown of just 27.8% vs. 52.6% for pure equity.

But this is a theoretical exercise. In practice, the friction costs, illiquidity, and data limitations make the Birkin more interesting as a case study in scarcity economics than as an actionable investment thesis.

Answering the Title Question

Question	Answer
Are Birkins better than bonds?	On a gross CAGR basis, yes (5.7% vs. 3.1%). Net of 25% fees, still slightly better (4.2% vs. 3.1%). But bonds are liquid, income-generating, and infinitely divisible.
Are Birkins better than stocks?	No. S&P 500 delivers 8.9% CAGR with no transaction friction, full liquidity, and dividend income.

Question	Answer
Are luxury bags good investments?	Only Hermès. Balenciaga and Paddington both lost money. "Luxury" alone creates no investment value.

The Birkin is less an investment thesis and more a case study in the economics of scarcity and cultural capital. The numbers are interesting. The practical barriers are prohibitive.

Data and code: github.com/wormaria/birkins-or-bonds